

Spotify Technology (NYSE: SPOT)

Date: 10/02/2026 | **Recommendation: Short**

Current Price: \$472.89 | **Price Target: \$255.65** | **Downside: 45.9%**

Executive Summary: **SHORT SPOT** with a \$255.65 PT and 45.9% downside. Spotify is priced at 20.5x 2027E EV/EBITDA because the Street expects a long runway of double-digit growth and margin expansion. Our research argues the earnings algorithm is already getting harder: Premium growth fell to 9% and annual net adds fell 25%; the 2023-25 margin inflection came from a finite restructuring cycle; audiobook bundling is essentially engineered around U.S. royalty rules now under MLC discovery; recent EPS comparisons are polluted by non-operating note marks and tax effects; and ~€1bn of buybacks didn't really reduce the share count as marketed. We model 10-11% revenue growth across Q4-26E to Q2-27E and value SPOT at 12.0x EV/EBITDA, still a 23.6% premium to the ex-SPOT comp median, implying \$255.65 per share.

Capitalization Table	
Share Price	\$472.89
Net New Shares Created by Options	2.1
Total Diluted Shares Outstanding	209.1
Market Cap (in Millions)	98,880.6
(+) Debt	-
(-) Cash & Short-Term Investments	10,569.9
Enterprise Value	88,310.6
LTM EV / Sales	4.3x
LTM EV / EBITDA	28.4x

Business Overview: Spotify is the world's largest audio-streaming platform, monetizing users through Premium subscriptions and advertising on its free tier. Its freemium model was historically designed to maximize global user growth first and monetize later. Spotify's premium multiple has, in recent years, been justified by rapid income expansion: operating income improved from -€446m in 2023 to €1.37bn in 2024 and €2.20bn in 2025, a result of both revenue growth and cost saving.

Thesis I. Spotify Is No Longer a Growth-Stage Business, but Is Still Valued Like One

Spotify trades at ~20x 2027E EV/EBITDA versus 14.5x for Netflix, 9.4x for Warner Music and 4.1x for Tencent Music. Brokers justify the premium with growth: Rosenblatt pairs 35x forward EBITDA with 29% EBITDA CAGR; Morgan Stanley expects 35% EBIT CAGR through 2028; UBS assumes 14% revenue CAGR and 22% operating margins by 2029.

But user growth is already slowing. Premium growth fell from 17% in Q2 2023 to 9%, while annual net subscriber additions fell 25% from 32m to 24m. Advertising offers little relief: ad-supported users grew 14% while advertising revenue grew just 1%. With 777m MAUs and 300m Premium subscribers, Spotify increasingly needs pricing rather than new users to carry earnings growth.

That is difficult because Spotify does not own exclusive core content. Co-CEO Gustav Söderström said that "everyone licenses the same catalog," while Apple, Alphabet and Amazon can subsidize competing services. Our scrape found 57 cancellations following repeated price increases, while transfer tools make switching cheap: Soundiiz can bulk-migrate libraries for \$5, and one user moved ~7,000 songs to Apple Music with only ~50 missing. Pricing has to do more work just as switching costs remain low.

Thesis II. Spotify's Margin Inflection Was a One-Time Cost Reset, simply not Repeatable

The 2023-25 profit inflection was driven by a finite restructuring cycle. Average headcount fell from 9,123 to 7,287, podcast spending was rationalized, real-estate and contractor costs were cut, and 2024 lapped €212m of restructuring charges. The contribution of absolute Opex reduction to incremental operating profit has already collapsed from 27% in 2024 to 7% in 2025 and 2% in H1 2026. Even 2025 wages increased despite another decline in headcount.

Reported expenses now mask the reversal. Spotify reported 2025 Opex down €61m, but €165m of lower share-price-linked payroll taxes and a €12m equity-grant timing benefit imply underlying Opex actually increased by roughly €116m. In H1 2026, reported Opex fell €10m while €227m of favorable share-linked social-cost movements masked higher cloud/AI spend (+€76m), marketing (+€68m), free trials (+€33m) and legal costs (+€12m).

The easy cuts are therefore largely gone. Spotify cannot eliminate its largest expense pool, music royalties, because content costs remain tied to revenue, subscribers, minimum guarantees and concentrated rights holders; H1 2026 Premium content costs alone increased €474m. New growth products add more variable costs through audiobook royalties, creator payouts, payment processing, streaming delivery and AI compute. Future margin expansion must come from operating leverage and better supplier economics, not another 2023-style cost reset.

Thesis III. Spotify's Audiobook Bundle Is Essentially for Royalty Engineering, to be Revealed by MLC case

Spotify added 15 monthly audiobook hours to Premium in November 2023, but waited five months-until it created the \$9.99 U.S.-only Audiobooks Access tier-to begin treating Premium as a bundle. Spotify's own pricing makes the reference value difficult to reconcile with consumer economics: Basic Individual costs \$10.99 and Premium Individual \$11.99, implying customers pay only ~\$1 incrementally for the same audiobook hours assigned a \$9.99 reference price for royalty purposes. MLC alleges this reduced the share of Premium revenue attributed to music from 100% to as little as 37%.

The product behavior reinforces the royalty motive. Audiobooks-in-Premium has expanded to 22 markets, yet Audiobooks Access remains U.S.-only, where the statutory bundling formula creates the royalty benefit. The tier received little advertising, was absent from Spotify's homepage for months and has no disclosed subscriber or revenue figure. Spotify behaves differently when

audiobook demand is real: Audiobooks+ has been expanded internationally, featured prominently at Investor Day, and surpassed one million subscribers and ~\$100m of annualized recurring revenue.

The economics are asymmetric. Audiobook royalties are generally consumption-based, while the bundle structure can reduce the music-revenue base used in statutory royalty calculations across eligible subscriptions even when audiobook hours go unused. A meaningful portion of recent music-margin improvement may therefore reflect royalty engineering rather than repeatable operating leverage. The surviving MLC case now puts Spotify's internal valuation work, projections and licensing-finance communications into discovery.

Thesis IV. Headline EPS Growth Is Inflated by One-Off Accounting Comparisons

Q2 2026 diluted EPS was €2.61 versus a €0.42 loss in Q2 2025. But Q2 2025 included a €421m non-cash fair-value loss on Spotify's Exchangeable Notes. Excluding only that item lifts Q2 2025 net income from -€86m to roughly €335m, or approximately €1.6 per share. On that basis, Q2 2026 EPS growth was closer to ~60-65%, broadly consistent with the 61% growth in operating income rather than the apparent loss-to-profit explosion. The notes matured in March 2026, so this comparison benefit cannot repeat.

The distortion now flips against Spotify. Q3 2025 benefited from a €197m fair-value gain on the same notes and a €202m tax benefit, helping net income reach €899m and diluted EPS €3.28 despite operating income of only €582m. Zacks consensus already expects Q3 2026 EPS to decline ~15% YoY even as revenue grows ~15.5%; MarketScreener shows 2026 EBIT growth of ~31% but net-income growth of only ~15%. As these one-offs roll off, reported EPS growth can decelerate sharply even while revenue and operating profit continue growing.

Thesis V. Spotify Spent ~€1B on Buybacks Without Reducing the Share Count

Spotify spent approximately €439m on open-market repurchases in 2025 and another €547m in H1 2026, or roughly €986m in total. Yet ordinary shares economically outstanding increased from 203.84m at YE2024 to approximately 205.58m by June 2026 as option exercises and RSU releases replenished treasury shares. Q2 2026 basic weighted-average shares were 205.8m versus 205.4m a year earlier, while diluted shares reached 208.9m.

Spotify has since expanded its remaining repurchase authorization to ~\$2.22bn, but recent history suggests a material portion of buybacks functions as anti-dilution rather than true share-count reduction. That matters because the numerator is losing favorable accounting comparisons while the denominator has not contracted despite substantial cash spending. Future EPS growth must therefore come overwhelmingly from operating-income growth, precisely as Spotify's cost reductions are exhausting and its underlying expense base begins to reaccelerate.

Valuation: Our model projects Q3 2026 revenue of €5.00bn at a 32.9% gross margin and €670m of operating income, followed by €5.03bn / €734m in Q4 2026, €4.99bn / €728m in Q1 2027 and €5.25bn / €757m in Q2 2027. By Q2 2027, LTM revenue reaches €20.27bn, EBIT €2.89bn and EBITDA €3.01bn, equivalent to a 14.9% EBITDA margin. Our projection reflects the core thesis that revenue growth moderates toward ~10-11%, gross margin remains around 33% rather than continuing its 2023-25 step-up, and exhausted restructuring benefits prevent another outsized operating-margin expansion. At the projection-period end, Spotify is valued at 12.0x LTM EV/EBITDA, versus its current ~20.5x 2027E multiple; the re-rating still leaves Spotify above mature music peers such as Warner Music and Tencent Music, but removes the growth-stage premium as subscriber growth and incremental margins normalize. Applying 12.0x to €3.01bn of EBITDA produces a €36.1bn enterprise value and €47.4bn equity value after €11.3bn of forecast cash and short-term investments. On 208.9m diluted shares, this equates to €227 per share, or approximately \$256, representing ~46% downside from the current \$472.89 share price.

Valuation Bridge	Value
LTM EBITDA (€m)	3,011
Terminal EV / EBITDA	12.0x
Implied enterprise value (€m)	36,127
Cash & equivalents at Q2-27E (€m)	7,854
Short-term investments at Q2-27E (€m)	3,450
Less: exchangeable notes (€m)	-
Implied equity value (€m)	47,431
Diluted shares (mm)	208.9
Implied value / share (€)	€227.06
Implied value / share (\$)	\$255.65
Downside vs. Current price	(45.9%)

Risks & Mitigants: Risks include 1) subscriber growth and pricing remain stronger than expected; 2) margin expansion continues despite the end of restructuring; 3) the MLC case resolves favorably for Spotify; and 4) future buybacks finally reduce the share count. Mitigants are 1) Premium growth and annual net adds are already slowing while switching costs remain low; 2) underlying Opex has reaccelerated and royalties remain variable with revenue; 3) the valuation does not require an adverse MLC ruling because the growth, cost and accounting theses stand independently; and 4) ~€986m of historical buybacks failed to reduce shares, while our model assumes another €1.2bn without a meaningful diluted-share decline.

Catalysts: Q3 2026 creates a difficult EPS comparison against Q3 2025's €197m note gain and €202m tax benefit. Subsequent quarters should show whether revenue growth normalizes toward our 10-11% assumptions while reinvestment keeps Opex elevated. MLC discovery can surface internal evidence around audiobook valuation and licensing economics. Continued repurchases without a falling share count would further expose buybacks as anti-dilution rather than EPS-accretive shrinkage.